UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS **2281/01**

Paper 1 Multiple Choice **May/June 2007**

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

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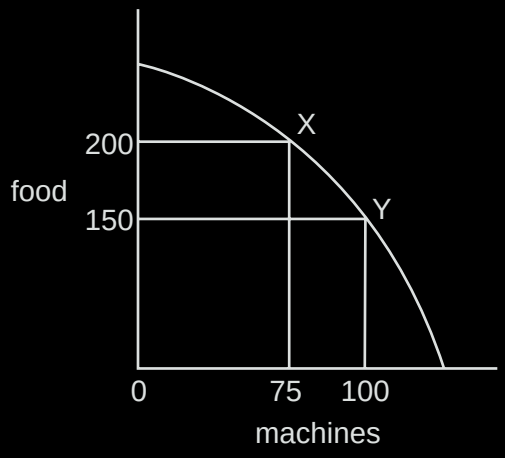
READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.



What is the opportunity cost of choosing to produce at Y instead of X?

A 25 machines

B 50 units of food

C 75 machines

D 150 units of food

5 Each country of Southern Africa has a mixed economy.

Which statement about a mixed economy is correct?

A The government employs most primary sector workers.

B The government owns all major secondary sector industries.

C The government owns the transport network.

D The government provides public and merit goods.

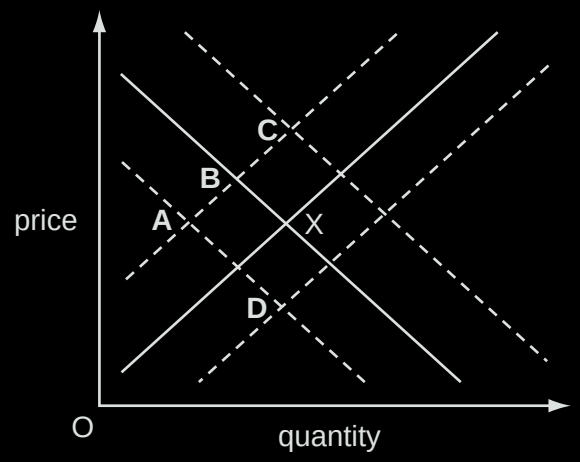
6 When will a trade union be most effective in pursuing its members' interests?

A The economy is in recession with rising unemployment.

B The employers have few orders for the product.

C The government passes a law to increase competition in the labour market.

D The members' wages make up a small part of total costs.



15 Which group is likely to save the largest proportion of its income?

A employed workers

B retired people

C school students

D unemployed workers

16 What is **not** included in a person's stock of wealth?

A a gold watch

B annual income

C an oil painting

D company shares

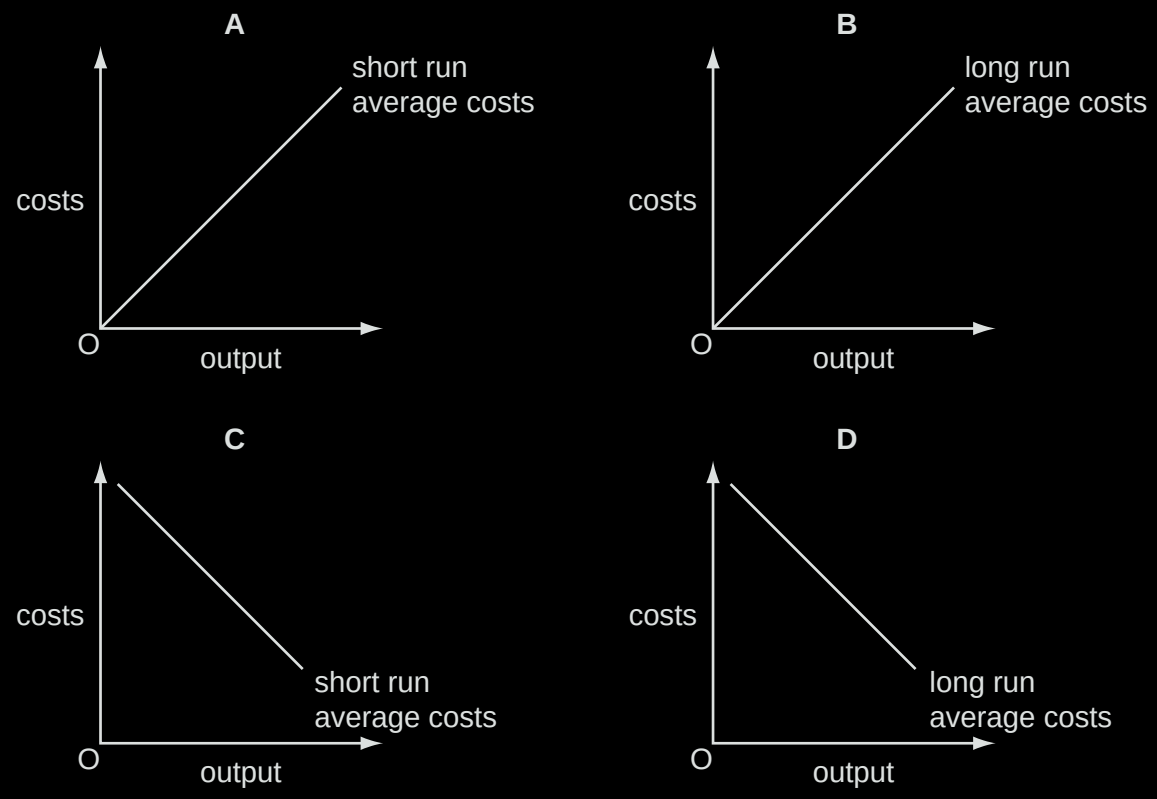
17 What might cause the wages of bus drivers to rise?

A Their productivity falls.

B The number of bus routes falls.

C The number of people making bus journeys falls.

D The supply of bus drivers falls.



20 A British firm, Dyson, moved production of its vacuum cleaners from the UK to Malaysia.

Why might it have made this change?

A average costs would fall

B average revenue would rise

C market share would fall

D transport costs would rise